

Lumenpath Software, Inc.

Workflow software for midsize finance teams

Fiscal years covered: FY2023, FY2024, FY2025

Industry: Business software (software as a service)

Role fit: FP&A, Corporate finance, Revenue analysis

Fictional company. All figures are illustrative and were built for this portfolio.

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Lumenpath Software, Inc.

Assumptions

(\$ in thousands)

	FY2023	FY2024	FY2025
Beginning ARR, FY2023	38,000		
New customer ARR	12,500	15,200	16,900
Expansion ARR	6,800	9,100	11,800
Contraction ARR	1,900	2,400	2,900
Churned ARR	3,400	4,300	5,200
Beginning customers, FY2023	830		
New customers	380	420	440
Lost customers	170	150	160
Cost of subscription, % of subscription revenue	18.0%		
Cost of services, % of services revenue	85.0%		
Professional services, % of subscription revenue	8.0%		
Sales and marketing, % of total revenue	52.0%	47.0%	43.0%
Research and development, % of total revenue	28.0%	26.0%	24.0%
General and administrative, % of total revenue	16.0%	14.0%	12.0%
Stock based compensation, % of revenue	6.0%		
Depreciation and amortization, % of revenue	2.2%		
Capital expenditures, % of revenue	2.5%		
Interest income rate on beginning cash	3.00%		
Income tax expense, flat per year	150		
Accounts receivable days (DSO)	62	60	58
Prepaid and other, % of revenue	4.0%		
Accounts payable, % of cost of revenue plus opex	3.5%		
Accrued expenses, % of operating expenses	11.0%		
Deferred revenue, % of ending ARR	45.0%		
Opening balance sheet FY2022: Cash	62,000		
Opening balance sheet FY2022: Accounts receivable	9,800		
Opening balance sheet FY2022: Prepaid and other	2,100		
Opening balance sheet FY2022: Property and capitalized software, net	5,500		

Opening balance sheet FY2022: Accounts payable	2,300
Opening balance sheet FY2022: Accrued expenses	6,900
Opening balance sheet FY2022: Deferred revenue	17,000
Opening balance sheet FY2022: Common stock and paid in capital	145,000
Opening balance sheet FY2022: Accumulated deficit	(91,800)

Lumenpath Software, Inc.

Income Statement

(\$ in thousands) For the years ended December 31

	FY2023	FY2024	FY2025
Subscription	45,000	60,800	79,900
Professional services	3,600	4,864	6,392
Total revenue	48,600	65,664	86,292
Cost of subscription	8,100	10,944	14,382
Cost of services	3,060	4,134	5,433
Gross profit	37,440	50,586	66,477
Sales and marketing	25,272	30,862	37,106
Research and development	13,608	17,073	20,710
General and administrative	7,776	9,193	10,355
Total operating expenses	46,656	57,128	68,171
Operating income (loss)	(9,216)	(6,542)	(1,694)
Interest income	1,860	1,900	2,059
Income before taxes	(7,356)	(4,642)	365
Income tax expense	150	150	150
Net income (loss)	(7,506)	(4,792)	215
Gross margin	77.0%	77.0%	77.0%
Operating margin	-19.0%	-10.0%	-2.0%
Stock based compensation	2,916	3,940	5,178
Depreciation and amortization	1,069	1,445	1,898
Adjusted EBITDA	(5,231)	(1,158)	5,382

Lumenpath Software, Inc.

Balance Sheet

(\$ in thousands) As of December 31

	FY2023	FY2024	FY2025
Assets			
Cash and cash equivalents	63,321	68,625	81,053
Accounts receivable	8,255	10,794	13,712
Prepaid and other	1,944	2,627	3,452
Total current assets	73,520	82,046	98,216
Property and capitalized software, net	5,646	5,843	6,102
Total assets	79,166	87,889	104,318
Liabilities			
Accounts payable	2,024	2,527	3,080
Accrued expenses	5,132	6,284	7,499
Deferred revenue	23,400	31,320	40,590
Total liabilities	30,556	40,131	51,168
Equity			
Common stock and paid in capital	147,916	151,856	157,033
Accumulated deficit	(99,306)	(104,098)	(103,884)
Total equity	48,610	47,757	53,150
Total liabilities and equity	79,166	87,889	104,318

Lumenpath Software, Inc.

Cash Flow Statement

(\$ in thousands) For the years ended December 31

	FY2023	FY2024	FY2025
Net income (loss)	(7,506)	(4,792)	215
Depreciation and amortization	1,069	1,445	1,898
Stock based compensation	2,916	3,940	5,178
(Increase) decrease in accounts receivable	1,545	(2,539)	(2,918)
(Increase) decrease in prepaid and other	156	(683)	(825)
Increase (decrease) in accounts payable	(276)	504	552
Increase (decrease) in accrued expenses	(1,768)	1,152	1,215
Increase (decrease) in deferred revenue	6,400	7,920	9,270
Cash from operating activities	2,536	6,946	14,585
Capital expenditures	(1,215)	(1,642)	(2,157)
Cash from investing activities	(1,215)	(1,642)	(2,157)
Net change in cash	1,321	5,305	12,427
Beginning cash	62,000	63,321	68,625
Ending cash	63,321	68,625	81,053

Lumenpath Software, Inc.
Ratios

(\$ in thousands)

	FY2023	FY2024	FY2025
Gross margin	77.0%	77.0%	77.0%
Operating margin	-19.0%	-10.0%	-2.0%
Adjusted EBITDA margin	-10.8%	-1.8%	6.2%
Net margin	-15.4%	-7.3%	0.2%
Revenue growth	n/a	35.1%	31.4%
Current ratio	2.4x	2.0x	1.9x
Return on equity	-14.7%	-9.9%	0.4%
Days sales outstanding	62.0	60.0	58.0
Free cash flow	1,321	5,305	12,427
FCF margin	2.7%	8.1%	14.4%

Lumenpath Software, Inc.

Recurring revenue and unit economics: ARR bridge

(\$ in thousands)

	FY2023	FY2024	FY2025
Beginning ARR	38,000	52,000	69,600
New customer ARR	12,500	15,200	16,900
Expansion ARR	6,800	9,100	11,800
Contraction ARR	1,900	2,400	2,900
Churned ARR	3,400	4,300	5,200
Ending ARR	52,000	69,600	90,200

	FY2023	FY2024	FY2025
Ending ARR	52,000	69,600	90,200
Net new ARR	14,000	17,600	20,600
ARR growth	n/a	33.8%	29.6%
Net revenue retention	103.9%	104.6%	105.3%
Gross revenue retention	86.1%	87.1%	88.4%
Customers	1,040	1,310	1,590
Average ARR per customer	###	\$53129.77	###
Customer churn	20.5%	14.4%	12.2%
CAC payback, months	19.2	18.6	18.9
Magic number	0.6x	0.6x	0.6x
Customer lifetime value	###	###	###
Acquisition cost per new customer	###	###	\$59031.57
LTV to CAC	4.3x	5.9x	6.5x
Rule of 40	n/a	43.2%	45.8%

Lumenpath Software, Inc.

Discounted cash flow valuation: forecast assumptions

(\$ in thousands)

	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue growth	28.0%	24.0%	20.0%	17.0%	14.0%
FCF margin	16.0%	19.0%	22.0%	24.0%	25.0%
WACC	11.50%				
Terminal growth	4.00%				

	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue	110,454	136,963	164,355	192,296	219,217
Free cash flow	17,673	26,023	36,158	46,151	54,804
Discount factor	0.90	0.80	0.72	0.65	0.58
PV of free cash flow	15,850	20,932	26,084	29,859	31,801

	Value
Sum of PV of free cash flow	124,526
Terminal value	759,952
PV of terminal value	440,973
Enterprise value	565,499
Equity value	646,552
EV / FY2025 ending ARR	6.3x
Terminal value share of EV	78.0%

	3.0%	3.5%	4.0%	4.5%	5.0%
WACC 10.5%	666,234	701,243	741,637	788,764	844,460
WACC 11.0%	626,200	656,284	690,666	730,338	776,622
WACC 11.5%	590,931	617,003	646,552	680,321	719,286
WACC 12.0%	559,633	582,397	608,007	637,031	670,202

WACC 12.5%	531,677	551,685	574,048	599,205	627,717
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Checks

Overall status	ALL OK	
Check	Difference	Status
Balance sheet balances, FY2023	-	OK
Balance sheet balances, FY2024	-	OK
Balance sheet balances, FY2025	-	OK
Cash flow ending cash = balance sheet cash, FY2023	-	OK
Cash flow ending cash = balance sheet cash, FY2024	-	OK
Cash flow ending cash = balance sheet cash, FY2025	-	OK
Net income ties, income statement to cash flow, FY2023	-	OK
Net income ties, income statement to cash flow, FY2024	-	OK
Net income ties, income statement to cash flow, FY2025	-	OK
Beginning cash equals prior year ending cash, FY2023	-	OK
Beginning cash equals prior year ending cash, FY2024	-	OK
Beginning cash equals prior year ending cash, FY2025	-	OK
Accumulated deficit rolls forward, FY2023	-	OK
Accumulated deficit rolls forward, FY2024	-	OK
Accumulated deficit rolls forward, FY2025	-	OK
Total revenue equals its components, FY2023	-	OK
Total revenue equals its components, FY2024	-	OK
Total revenue equals its components, FY2025	-	OK
Total current assets equal their components, FY2023	-	OK
Total current assets equal their components, FY2024	-	OK
Total current assets equal their components, FY2025	-	OK
Total liabilities equal their components, FY2023	-	OK
Total liabilities equal their components, FY2024	-	OK
Total liabilities equal their components, FY2025	-	OK